

NET INCOME WITH MAKEUP

CHARITABLE REMAINDER UNITRUST

Grantor(s):	Dr. Robert K. Nakamura Susan L. Nakamura	Date:	September 8, 2022
Trustee:	National Christian Charitable Foundation, Inc.	State:	California
		Trust ID:	NCCF-2022-CRUT-0847

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I. ESTABLISHMENT AND FUNDING OF TRUST

Robert K. Nakamura and Susan L. Nakamura (collectively, the "Grantors") hereby establish this Net Income with Makeup Charitable Remainder Unitrust and irrevocably transfer to National Christian Charitable Foundation, Inc. (the "Trustee") the assets described in Exhibit A attached hereto, having an aggregate fair market value of \$5,800,000 as of the date of this Agreement. The Trustee acknowledges receipt of said assets and agrees to hold, invest, and administer them pursuant to the terms set forth herein.

II. NET INCOME DISTRIBUTION PROVISIONS

(a) In each taxable year, the Trustee shall distribute to the Grantors, as joint income beneficiaries with right of survivorship, the lesser of: (i) the Trust's net income for such taxable year, or (ii) 6.2% of the net fair market value of Trust assets determined annually on the first business day of the taxable year.

(b) The target unitrust amount based on initial funding is \$359,600 per year. Actual distributions will vary based on Trust performance and net income limitations inherent in the NIMCRUT structure.

(c) Distributions shall be made in quarterly installments no later than the fifteenth (15th) day following the close of each calendar quarter.

III. MAKEUP PROVISIONS

In any year in which the Trust's net income exceeds the unitrust amount calculated under Section II above, the Trustee shall distribute such excess to the income beneficiaries to the extent of any accumulated deficiency from prior years in which the net income was less than the unitrust amount. The Trustee shall maintain a running account of the cumulative deficiency (the "Makeup Account").

IV. DURATION AND TERMINATION

This Trust shall continue for the joint lives of the Donors. Upon the death of the survivor of the two Grantors, the Trust shall terminate and the remainder shall be distributed as provided in Section V below.

V. CHARITABLE REMAINDER DISTRIBUTION

Upon termination, the Trustee shall distribute the entire remaining Trust estate to Stanford University School of Medicine, EIN 94-1156365, provided it remains a qualified organization under IRC Sections 170(b)(1)(A), 170(c), 2055(a), and 2522(a).

VI. TRUSTEE POWERS AND COMPENSATION

(a) Powers. The Trustee shall possess all powers granted under the California Uniform Trust Code and shall additionally have authority to: retain or dispose of any asset; invest without diversification requirements; allocate receipts and expenses between income and principal; employ sub-advisors; and execute any instrument necessary for Trust administration.

(b) Compensation. The Trustee shall receive annual compensation of 0.75% of the net asset value of the Trust, assessed quarterly. Initial estimated annual fee: \$43,500. Additional charges for extraordinary services (litigation, real estate transactions, complex tax matters) shall be billed at standard hourly rates then in effect.

(c) Indemnification. The Trust shall indemnify the Trustee against any liability arising from the good-faith administration of the Trust, except for willful misconduct.

VII. TAX PROVISIONS

This Trust is intended to be a charitable remainder unitrust within the meaning of Rev. Proc. 2005-52 and Section 664(d)(2) of the Code. No provision shall be construed to disqualify the Trust. The Trustee shall file Form 5227 annually.

VIII. ADMINISTRATIVE AND GENERAL PROVISIONS

This Agreement is governed by California law. The Trust is irrevocable. No beneficiary interest may be assigned or pledged. If any provision is invalid, the remaining provisions continue in effect.

EXHIBIT A - SCHEDULE OF INITIAL TRUST ASSETS

Asset Description	Estimated FMV	Basis
Vanguard Total Stock Market Index	\$2,340,000	\$1,150,000
Municipal Bond Portfolio	\$1,860,000	\$1,720,000
Cash and Cash Equivalents	\$1,600,000	\$1,600,000
TOTAL	\$5,800,000	\$4,470,000

Executed as of September 8, 2022.

Robert K. Nakamura, Grantor

Susan L. Nakamura, Grantor

NCCF, Inc., Trustee